



**BUSN603 – CORPORATE GOVERNANCE AND RISK
MANAGEMENT**

Semester 1 - 2026

Assessment 3 - Critical Appraisal Report

Governance Failure and Post-Crisis Reform at

The Star Entertainment Group

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1. Introduction

The prolonged governance crisis at The Star Entertainment Group, underscored by the 2024 Bell Two Inquiry and the 2025–2026 Federal Court civil penalty proceedings, presents a defining case study in the failure of non-financial risk management within Australian corporate governance. Despite explicit regulatory warnings dating back to the 2022 Bell One Inquiry, the organization exhibited deep-rooted ethical lapses in which executives systematically concealed compliance failures, producing a profound breakdown in board-level oversight. The NSW Independent Casino Commission (NICC) consequently declared The Star unsuitable to hold its casino licenses, triggering severe operational restrictions, financial penalties exceeding \$300 million, and catastrophic reputational damage.

In response, the board executed a radical transformation agenda, replacing virtually its entire leadership and submitting to multi-year independent regulatory monitoring to rebuild a shattered relationship with the community and regulators. As a dominant operator in Australia's gaming sector, The Star's failures rippled across its stakeholder ecosystem, harming vulnerable communities exposed to unchecked gambling and money-laundering risks, employees facing operational uncertainty, and investors who suffered substantial value destruction.

The purpose of this critical appraisal is to evaluate these governance breakdowns through a board-level lens and to recommend strategic reforms that strengthen compliance frameworks, embed ethical stewardship, and rebuild stakeholder trust in a manner consistent with the common good and the principles of sustainable ESG governance.

2. Discussion

2.1 Governance Failures, Risk Exposure, and Post-Crisis Response

The Star's operational framework systematically failed to identify, escalate, and manage severe non-financial risks — a textbook breakdown of what governance scholars describe as the principal-agent problem (Larcker & Tayan, 2021). Executives, acting as agents, exploited information asymmetry to advance short-term commercial interests while obscuring material risks from the board. As outlined in the ASIC civil penalty proceedings, the former Chief Executive Officer, Chief Casino Officer (CCO), and Chief Financial Officer (CFO) actively withheld critical information regarding illicit gambling junkets and misleading financial correspondence (ASIC, 2025). Specifically, the CCO permitted the Suncity junket exclusive access to a private gaming room despite acute regulatory and legal risks, while the CFO failed to prevent misleading correspondence to the National Australia Bank concerning the use of China Union Pay cards for gambling.

This concealment exposed The Star to severe compliance, operational, reputational, and ESG-related risks. Strategically, the organisation prioritised short-term VIP gaming revenue over its

social licence to operate, breaching fundamental Environmental, Social, and Governance principles by tolerating anti-money laundering (AML) deficiencies and gambling-related harm. The collapse also reflects the absence of a functioning Three Lines Model — the foundational risk-governance architecture under which management owns risk (Line 1), compliance and risk functions oversee it (Line 2), and internal audit independently assures the board (Line 3) (Institute of Internal Auditors [IIA], 2020). At The Star, the second line was structurally subordinated to executive interests, and the third line was unable to penetrate the executive culture.

Post-crisis, the board's response shifted from defensive posturing to urgent remediation. Following the Bell Two Inquiry, the board initiated a complete leadership overhaul, cooperated with state-appointed monitors, and entered a multi-year transformation programme aimed at restoring its casino-licence suitability (Bell, 2024). Yet the extreme delay in these responses — occurring only after regulatory and judicial intervention — reveals a deeply reactive, rather than proactive, risk culture.

2.2 Evaluation of Board and Leadership Actions

The Star's leadership failure reveals a catastrophic collapse of ethical stewardship. Stewardship Theory holds that directors and executives ought to act as trustees of the long-term interests of the organisation and its stakeholders (Larcker & Tayan, 2021); The Star's executive cohort inverted this principle entirely, advancing personal performance incentives at the expense of legal compliance and community welfare. The CFO's tolerance of misleading correspondence to the National Australia Bank regarding China Union Pay transactions exemplifies a deliberate subversion of financial controls fundamentally misaligned with the moral duties of corporate leadership (ASIC, 2025).

At the board level, oversight was dangerously passive. While Justice Lee's 2026 judgment in the ASIC proceedings found that the Non-Executive Directors did not breach their statutory duties under section 180 of the Corporations Act 2001 (Cth), the case nevertheless exposed significant structural and behavioural weaknesses in how the board handled information. Directors routinely received 300- to 700-page board packs that obscured critical red flags — an information architecture conducive to what behavioural-ethics scholars term "ethical fading," whereby decision-makers fail to perceive the moral dimensions of their choices because those dimensions are not visible in the information they are given (Wotton Kearney, 2026).

This was a failure of professional scepticism. As Larcker and Tayan (2021) argue, delegation to management is never an abdication of board responsibility; directors must actively interrogate the information presented and independently verify compliance assertions. The Star's board exhibited unquestioning trust in executive leadership rather than the rigorous challenge expected of fiduciaries in a highly regulated industry. The lesson for any governance committee is unambiguous: a culture of polite deference, however collegial, is operationally indistinguishable from negligence when the matter at hand is the organisation's social licence to operate.

2.3 Stakeholder Impacts, Ethics, and the Common Good

The Star's governance collapse generated severe negative impacts across its entire stakeholder ecosystem. Investors suffered substantial wealth destruction; the share price plummeted, and trading was suspended multiple times on the ASX in 2024 and 2025 due to delayed financial reporting amidst the crisis (Newsreel, 2026). Employees faced operational uncertainty and reputational taint. Most critically, the broader community bore the brunt of the ethical failures: by circumventing AML laws, The Star facilitated potential criminal activity and exacerbated gambling-related harm, severely violating its responsibilities to what Catholic social thought and contemporary governance scholarship together describe as the common good — the conditions of social life that allow persons and communities to flourish (Rasche, 2023).

Freeman, Phillips, and Sisodia (2020) argue that contemporary stakeholder theory requires firms to evaluate every strategic decision against the legitimate interests of all parties materially affected, not merely shareholders. The Star inverted this framework entirely, treating regulatory compliance and community wellbeing as constraints to be circumvented rather than as primary obligations. The result was a profound breach of the implicit social contract between a casino operator and the community that grants its licence to operate. The gambling-harm dimension is particularly acute because the externalities fall disproportionately on vulnerable populations, transforming the firm's regulatory failure into a direct moral failure against the common good.

Ethically, the organisation operated on a paradigm of "profit over compliance." Post-crisis reforms have included the restructuring of compliance frameworks, the centralisation of risk reporting, and the transition to a fixed-fee model for joint-venture Brisbane properties to stabilise cash flow and de-risk operations (Newsreel, 2026). These reforms attempt to realign the company with Stakeholder Theory and ESG principles, recognising that a firm must create durable value for all stakeholders, not merely shareholders. However, structural reforms remain insufficient without a fundamental shift in the ethical culture that governs how risk is perceived at the highest levels. Form does not substitute for substance; policies do not, on their own, create ethics.

2.4 Strategic Recommendations for the Governance and Risk Committee

Assuming the role of Chair of the Governance and Risk Committee, my immediate priority would be to dismantle the silos that allowed executive concealment. A robust governance framework must operate on the founding assumption that non-financial risks — particularly AML compliance and harm minimisation — are as material as financial risks, because in this industry they are precisely what determines the right to operate.

First, the committee should implement a "double materiality" assessment framework, evaluating both how ESG issues affect the company's financial valuation and, equally, how the company's operations impact society and the environment (Rasche, 2023). The trade-off here is operational complexity and additional disclosure cost, but the cost of omitting the outward-facing dimension

is precisely what destroyed The Star's social licence; on a risk-weighted basis, the disclosure burden is plainly justified.

Second, the board's information architecture must be overhauled. The committee should mandate one-page executive risk summaries that explicitly highlight legal and compliance exposures, with the Chief Legal and Risk Officer reporting directly to the Risk Committee rather than through the CEO. This structural change addresses the information-asymmetry problem identified by agency theory at its source. The alternative — retaining the CEO as the sole gateway to the board — would preserve the very channel through which the original concealment travelled.

Third, executive remuneration must be tied aggressively to risk and compliance metrics, with stringent malus and clawback provisions for ethical breaches. Larcker and Tayan (2021) emphasise that incentive structures shape behaviour more reliably than codes of conduct alone; until ethical breaches carry personal financial consequence, the calculus of concealment will continue to favour concealment. Reflecting on what I would have done differently as a board member sitting on The Star's original board: I would have insisted, well before 2022, on a routinely scheduled in-camera briefing from the Chief Risk Officer and external counsel, without management present. The absence of such a mechanism is, in hindsight, where the failure of independent challenge began.

2.5 Mitigation and Prevention Measures

To prevent recurrence of these systemic failures, The Star must institutionalise continuous, proactive risk management rather than relying on reactive compliance (Hopkin & Thompson, 2022). Four mitigation measures are immediate priorities.

Independent Risk Auditing. Establish an external independent risk auditor reporting directly to the Risk Committee, entirely separate from the internal audit function managed by executives. This operationalises the third line of the Three Lines Model (IIA, 2020) and re-establishes the assurance link the original structure failed to maintain.

Whistleblower Empowerment. Revamp the whistleblower policy to ensure absolute anonymity and establish a direct reporting line to the Chair of the Risk Committee. The corporate culture must reward, rather than punish, the escalation of bad news; what cannot be safely said cannot be safely managed.

AI and Technology Governance. As Justice Lee observed in the 2026 ASIC judgment, boards increasingly rely on AI tools to digest complex board packs. The committee must establish formal policies governing the ethical use of AI to ensure it aids — rather than replaces — the board's fundamental duty of care. AI-generated summaries should be cross-validated by human risk professionals before reaching the board.

Continuous Ethical Stewardship Training. Mandate quarterly, scenario-based ethical training for all directors and C-suite executives, with particular emphasis on the social-licence dimensions of gaming operations and the firm's responsibilities to the common good.

3. Conclusion

The Star Entertainment Group's corporate crisis is a stark reminder that formal risk management frameworks are entirely ineffective if undermined by a toxic executive culture and passive board oversight. The failure to manage non-financial risks — particularly concerning AML regulations and gambling-related social harm — devastated stakeholder value and stripped the organisation of its social licence to operate. Rebuilding from this crisis demands more than superficial compliance updates; it requires a total recommitment to ethical stewardship, structural transparency, and accountability to the common good. By ensuring direct, unfiltered information flow to the board, enforcing accountability through remuneration mechanisms, and embedding ESG principles into the core strategic vision, the board can transition from reactive crisis management to resilient, proactive governance. Directors must recognise that their duty of care is an active, continuous obligation — a stewardship exercised on behalf of the organisation, its stakeholders, and the broader community.

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Appendix A — Checklist

My submitted assignment report is within the specified word limit	✓
I have included references using specified referencing style	✓
I have correctly cited all my sources and references	✓
I have formatted my report as per the specifications	✓
I have checked my Turnitin report to ensure the similarity report is within the acceptable level(below 20% similarity)	✓
I have actioned feedback advice provided to me from previous assignment feedback	✓
I have completed proof reading and checked for spelling and grammar	✓
I have submitted my work before the due date/time	✓
I have submitted feed forward template along with my assignment submission	✓

Appendix B — Feed-Forward Reflection

Reflection Questions	Feedback and Improvement Actions
1. In your opinion, how do you think previous project inputs contributed to the development of this report?	As stated in previous reviews, this needs a more thorough explanation of the technical decisions taken, which I have tried to cover in this report: for example, the considerations made against the costs, performance, and the meeting of objectives set by ABC Company in choosing Azure PaaS and parts of the hardware.
2. For future projects, what type of feedback would you find most helpful?	Detailed feedback is what helps me tune-especially those areas that need work, like technical detail, clarity, or structure. When I know exactly where I need to add evidence or revise my arguments, I can construct stronger, more targeted arguments in future assignments.
3. Were you having problems trying to understand the use of comments from previous assignments?	Some of the previous critique had been too general to locate specifically areas that needed attention. For instance, comments that highlight specific passages or ideas which require more careful consideration or evidence are of more value than the general advice to "improve the analysis."
4. How has your strategy changed considering earlier criticism?	Previous remarks emphasized that comments should be short and fact-based. Therefore, in this research work, I tried to give the shortest explanations and examples that will ensure that things are clear and support my recommendations effectively, such as comprehensive estimates of costs for cloud services.
5. About anything, how do you think the feedback process could be improved to help you learn more?	This would also be assisted if recommendations were added concerning readings or resources on hard subjects, such as cloud architecture models. Additionally, apart from these, feedback should include a summary of strengths and areas of development. That would really help me understand and lift the standard of my work in general.